

Find solutions to your homework

Search

Question



E3-8 Meghan Lindh, D.D.S., opened a dental practice on January 1, 2017. During the first month of operations, the following transactions occurred.

Performed services for patients who had dental plan insurance. At January 31, \$875 of such services were performed but not yet recorded.

Utility expenses incurred but not paid prior to January 31 totaled \$650.

Purchased dental equipment on January 1 for \$80,000, paying \$20,000 in cash and signing a \$60,000, 3-year note payable. The equipment depreciates \$400 per month. Interest is \$500 per month.

Purchased a one-year malpractice insurance policy on January 1 for \$24,000.

Purchased \$1,600 of dental supplies. On January 31, determined that \$400 of supplies were on hand.

Instructions

Prepare the adjusting entries on January 31. Account titles are Accumulated Depreciation—Equipment, Depreciation Expense, Service Revenue, Accounts Receivable, Insurance Expense, Interest Expense, Interest Payable, Prepaid Insurance, Supplies, Supplies Expense, Utilities Expense, and Utilities Payable.

Prepare adjusting entries.

Post a question

Answers from our experts for your tough homework questions

20 questions left - Renews Feb. 27, 2023

Enter question

Continue to post

Expert Answer

100% (3 ratings)

This solution was written by a subject matter expert. It's designed to help students like you learn core concepts.

Anonymous answered this

35,047 answers

Answer

- All working forms part of the adjusting entries.
- All Adjustment are made for just 1 month, the first month of operation.

Adjusting Entry no.	Accounts title	Debit	Credit
1	Accounts receivables	\$ 875.00	
	Service revenue		\$ 875.00
	(revenue earned now recorded)		
2	Utilities expense	\$ 650.00	
	Utilities Payable		\$ 650.00
	(Amount due to be paid)		
3	Depreciation expense	\$ 400.00	
	Accumulated Depreciation - Equipment		\$ 400.00
	(depreciation recorded)		
4	Interest expense	\$ 500.00	
	Interest payable		\$ 500.00
	(Interest accrued to be paid)		
5	Insurance Expense [1 month insurance = 24000/12]	\$ 2,000.00	
	Prepaid Insurance		\$ 2,000.00
	(1 month insurance expired)		
6	Supplies expense	\$ 1,200.00	
	Supplies		\$ 1,200.00
	(Supplies consumed = 1600 - 400)		

Was this answer helpful?

3

0

Answers from our experts for your tough homework questions

20 questions left - Renews Feb. 27, 2023

Enter question

Continue to post

Practice with similar questions

Q: Meghan Lindh, D.D.S., opened a dental practice on January 1,2017. During the first month of operations, the following transactions occurred. 1. Performed services for patients who had dental

My Textbook Solutions

Chegg

Introduction to Electric...

Solutions →

Public Finance

Public Finance

Solutions →

View all solutions

operations, the following transactions occurred. 1. Performed services for patients who had dental plan insurance. At January 31, \$820 of such services were performed but not yet recorded. 2. Utility expenses incurred but not paid prior to January 31 totaled \$680. 3. Purchased dental equipment on January 1 for \$84,000, paying \$30,000 in cash and signing a \$54,000...

A: [See answer](#)  100% (8 ratings)

Q: Vaughn Weller, D.D.S., opened a dental practice on January 1, 2017. During the first month of operations, the following transactions occurred. 1. Performed services for patients who had dental plan insurance. At January 31, \$721 of such services was performed but not yet billed to the insurance companies. 2. Utility expenses incurred but not paid prior to January 31 totaled \$523. 3. Purchased dental equipment on January 1 for \$88,000, paying \$20,000 in c...

A: [See answer](#)  100% (2 ratings)

[Show more](#) 

Questions viewed by other students

Q: E3-8 Meghan Lindh, D.D.S., opened a dental practice on January 1, 2017. During the first month of operations, the following transactions occurred. Performed services for patients who had dental plan insurance. At January 31, \$875 of such services were performed but not yet recorded. Utility expenses incurred but not paid prior to January 31 totaled \$650. Purchased dental equipment on January 1 for \$80,000, paying \$20,000 in cash and signing...

A: [See answer](#)  100% (3 ratings)

Q: E3-8 (Adjusting Entries) Andy Roddick is the new owner of Ace Computer Services. At the end of August 2007, his first month of ownership, Roddick is trying to prepare monthly financial statements. Below is some information related to unrecorded expenses that the business incurred during August. 1. At August 31, Roddick owed his employees \$1,900 in wages that will be paid on September 1. 2. At the end of the month he had not yet received the month...

A: [See answer](#)  100% (25 ratings)

[Show more](#) 

COMPANY

About Chegg
Chegg For Good
College Marketing
Corporate Development
Investor Relations
Jobs
Join Our Affiliate Program
Media Center
Site Map

LEGAL & POLICIES

Advertising Choices
Cookie Notice
General Policies
Intellectual Property Rights
Terms of Use
Global Privacy Policy
Honor Code
Honor Shield
Academic Integrity

CHEGG PRODUCTS AND SERVICES

Cheap Textbooks
Chegg Coupon
Chegg Play
Chegg Study Help
College Textbooks
eTextbooks
Flashcards
Learn
Uversity
Chegg Math Solver
Mobile Apps
Solutions Manual
Study 101
Textbook Rental
Used Textbooks
Digital Access Codes
Chegg Life
Chegg Writing

CHEGG NETWORK

Easybib
Internships.com
Thinkful
Busuu
Mathway

CUSTOMER SERVICE

Customer Service
Give Us Feedback
Manage Subscription



© 2003-2023 Chegg Inc. All rights reserved.

